

manufacturing facility in Talegaon. The new plant is expected to become operational by Q3 of FY26. At present, the South Korean automaker's plants near Chennai have a combined capacity of 8.24 lakh units. "In the first phase, 1.7 lakh units will be added by quarter four of CY25, which means we are reaching 9.94 lakh units. In the second phase, 80,000 more will be added in 2028. Our capacity will go up by almost 30% in the next two years," says Garg.

The company's manufacturing capacity has increased from 7.58 lakh in FY22 to 8.24 lakh in FY25. This will subsequently increase Hyundai's market share to 13.7% in FY26 and 13.6% in FY27, as per estimates by Emkay Research.

Garg believes new models and capacity expansion will cater to both domestic demand and export growth.

THE GROUP AIMS TO INCREASE ITS REVENUE CONTRIBUTION FROM EXPORTS TO 30% BY 2030, UP FROM THE CURRENT 25%. THE COMPANY PRESENTLY EXPORTS TO OVER 80 COUNTRIES

Emkay Global Research says domestic volumes will reach 6,16,201 units in FY26 and 6,51,221 units in FY27.

Sharma says the new plant in Talegaon will be a key enabler of Hyundai's growth strategy. "It will provide the flexibility needed to introduce new models in a timely manner. This, along with ongoing investments in local R&D, positions Hyundai to better serve the Indian market with tailored products that align with local consumer preferences and regulatory requirements," says Sharma.

The company has guided for capex of ₹7,000 crore for FY26 to drive sustainable mid- to long-term growth. Approximately 40% of this has been allocated for the Pune facility, and ~20% for new products.

UBS says market share gains in the domestic market are likely to be driven by capacity expansion and new launches, particularly in white spaces with minimal risk of cannibalisation. "We project FY26-28 domestic

volume growth of 10% vs. 2% in FY19-25, with potential to expand the dealer network and address gaps in its portfolio along with a robust pipeline of new model launches, and imminent entry into hybrids," says the research firm.

EXPORT-LED STRATEGY

Besides this, Hyundai Motor Group is looking to make India its largest exporting hub after South Korea. For India, it plans to have 30% contribution from exports by 2030, from 25% at present, in terms of revenue. The company exports to more than 80 countries. Between FY21 and FY25, Hyundai India reported a 56.5% surge in export volumes from 1,04,342 units to 1,63,386 units.

"Our current contribution of exports is about 21% in terms of volume and 23% in terms of revenue. Going forward, as we introduce new models, we can increase the export penetration to, maybe, 30% in the next few years," says Garg. Hyundai's export share will increase to 22.3% in FY26 and 22.6% in FY27, says Emkay Global.

Rise in exports will increase the average selling price and margins, says UBS. "We believe Hyundai's long-term strategic priority is expanding its presence in South Asian and Middle Eastern markets, while India is a bedrock due to fast-growing domestic demand and its role as a low-cost export base. With rising uncertainty in the US due to tariffs, slowing growth in Korea and Europe and declining relevance of China amid sharp market share losses, India's strategic importance continues to increase," says the research firm.

CHALLENGES AHEAD

While Hyundai is bullish about its strategy, India's automobile market is highly competitive. Several legacy carmakers have tried and failed amidst rising competition. For Hyundai, the success will be largely dependent on sales of the new models. According to UBS, a key risk for Hyundai would be over-reliance on Creta for profitability and potential missteps in future product launches. Additionally, increasing competitive pressure due to the entry of newer manufacturers in its core segment could impact margins.

Ultimately, while Hyundai's aggressive product strategy signals strong intent, its long-term success will hinge on consistent innovation, diversification beyond core models and ability to stay ahead in an increasingly crowded and fast-evolving market. Will it be able to grow its market share? Only time will tell. **BT**

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